Options :

6406533045162. ✖ Rs. 50,000

6406533045163. ✔ Rs. 1.5 lakhs

6406533045164. ✖ Rs. 2 lakhs

6406533045165. ✖ Rs. 2.5 lakhs

Question Number : 311 Question Id : 640653904356 Question Type : MCQ Calculator : Yes
Correct Marks : 1

Question Label : Multiple Choice Question

Which of the following investments qualify for tax-saving benefits under Section 80C in the old tax regime?

1. National Savings Certificate (NSC)
2. Equity Linked Savings Scheme (ELSS)

Choose the correct option:

Options :

6406533045166. ✖ 1 only

6406533045167. ✖ 2 only

6406533045168. ✔ Both 1 and 2

6406533045169. ✖ Neither 1 nor 2

Managerial Economics

Section Id :	64065364140
Section Number :	12
Section type :	Online
Mandatory or Optional :	Mandatory
Number of Questions :	13
Number of Questions to be attempted :	13
Section Marks :	45
Display Number Panel :	Yes
Section Negative Marks :	0
Group All Questions :	No
Enable Mark as Answered Mark for Review and Clear Response :	No
Maximum Instruction Time :	0
Sub-Section Number :	1
Sub-Section Id :	640653134150
Question Shuffling Allowed :	No

Question Number : 312 Question Id : 640653904368 Question Type : MCQ Calculator : Yes
Correct Marks : 0
Question Label : Multiple Choice Question
THIS IS QUESTION PAPER FOR THE SUBJECT "DEGREE LEVEL : MANAGERIAL ECONOMICS (COMPUTER BASED EXAM)"

ARE YOU SURE YOU HAVE TO WRITE EXAM FOR THIS SUBJECT?
CROSS CHECK YOUR HALL TICKET TO CONFIRM THE SUBJECTS TO BE WRITTEN.

(IF IT IS NOT THE CORRECT SUBJECT, PLS CHECK THE SECTION AT THE TOP FOR THE SUBJECTS REGISTERED BY YOU)
Options :
6406533045202. ✔ YES
6406533045203. ✖ NO

Sub-Section Number :	2
Sub-Section Id :	640653134151
Question Shuffling Allowed :	Yes

Question Number : 313 Question Id : 640653904403 Question Type : MCQ Calculator : Yes
Correct Marks : 1
Question Label : Multiple Choice Question
What is true about monopolistic competition
Options :
6406533045261. ✔ Firms compete by selling differentiated products that are highly, but not perfectly, substitutable
6406533045262. ✖ Entry and exit are not free in the market
6406533045263. ✖ None of these
6406533045264. ✖ Both Firms compete by selling differentiated products that are highly, but not perfectly, substitutable & Entry and exit are not free in the market

Question Number : 314 Question Id : 640653904404 Question Type : MCQ Calculator : Yes
Correct Marks : 1
Question Label : Multiple Choice Question
A firm can always trade three units of labour for one unit of capital and still keep output constant. The production technology for this firm can most suitably represented by
Options :
6406533045265. ✖ Cobb-Douglas production function
6406533045266. ✖ Leontief production function
6406533045267. ✔ Linear production function
6406533045268. ✖ None of these

Question Number : 315 Question Id : 640653904405 Question Type : MCQ Calculator : Yes

Correct Marks : 1

Question Label : Multiple Choice Question

A common resource is

Options :

6406533045269. ✔ rival and nonexcludable

6406533045270. ✖ nonrival and excludable.

6406533045271. ✖ nonrival and nonexcludable

6406533045272. ✖ rival and excludable

Question Number : 316 Question Id : 640653904406 Question Type : MCQ Calculator : Yes

Correct Marks : 1

Question Label : Multiple Choice Question

Choose the correct alternative

Options :

6406533045273. ✔ First-degree price discrimination is the practice of attempting to price each unit at the consumer's reservation price

6406533045274. ✖ Third-degree price discrimination is the practice of offering consumers a quantity discount

6406533045275. ✖ Second-degree price discrimination is the practice of charging different uniform prices to different consumer groups or segments in a market

6406533045276. ✖ All of these

Question Number : 317 Question Id : 640653904407 Question Type : MCQ Calculator : Yes

Correct Marks : 1

Question Label : Multiple Choice Question

A monopolist always produces in

Options :

6406533045277. ✖ The inelastic region of market demand curve

6406533045278. ✔ The elastic region of market demand curve

6406533045279. ✖ The whole demand curve

6406533045280. ✖ None of these

Question Number : 318 Question Id : 640653904408 Question Type : MCQ Calculator : Yes

Correct Marks : 1

Question Label : Multiple Choice Question

Adverse selection occurs when

Options :

6406533045281. ✖ a person takes more risks that are not known to the life insurance company because he has life insurance

6406533045282. ✔ a person buys life insurance because he has a risky lifestyle that is not known to the life insurance company

6406533045283. ✖ a person is a risk lover

6406533045284. ✖ pregnant women with health insurance make more doctor visits than uninsured pregnant women

Question Number : 319 Question Id : 640653904409 Question Type : MCQ Calculator : Yes
Correct Marks : 1

Question Label : Multiple Choice Question

If bad drivers can usually avoid being ticketed by the police, then insurance companies will

Options :

6406533045285. ✖ use one's driving record as a signal

6406533045286. ✖ use one's driving record as a screening device

6406533045287. ✔ not be able to use one's driving record as a screening device

6406533045288. ✖ request driving records directly from the police and not from the individual applicant

Sub-Section Number :	3
Sub-Section Id :	640653134152
Question Shuffling Allowed :	No

Question Id : 640653904399 Question Type : COMPREHENSION Sub Question Shuffling Allowed : No Group Comprehension Questions : No Question Pattern Type : NonMatrix Calculator : None

Question Numbers : (320 to 322)

Question Label : Comprehension

A monopolist faces the demand curve ***P = 11 - Q***, where P is measured in dollars per unit and Q in thousands of units. The monopolist has a constant average cost of $6 per unit. Answer the given subquestions.

Sub questions

Question Number : 320 Question Id : 640653904400 Question Type : MCQ Calculator : Yes
Correct Marks : 1

Question Label : Multiple Choice Question

What are the monopolist’s profit-maximizing price and quantity?

Options :

6406533045249. ✖ Profit maximizing price=2.5 and Profit maximizing quantity=4500

6406533045250. ✔ Profit maximizing price=8.5 and Profit maximizing quantity=2500

6406533045251. ✖ Profit maximizing price=4.5 and Profit maximizing quantity=8500

6406533045252. ✖ Profit maximizing price=5.5 and Profit maximizing quantity=2500

Question Number : 321 Question Id : 640653904401 Question Type : MCQ Calculator : Yes
Correct Marks : 1

Question Label : Multiple Choice Question

The resulting profit will be

Options :

6406533045253. ✖ 4250

6406533045254. ✔ 6250

6406533045255. ✖ 5060

6406533045256. ✖ 6850

Question Number : 322 Question Id : 640653904402 Question Type : MCQ Calculator : Yes

Correct Marks : 1

Question Label : Multiple Choice Question

Calculate the firm's degree of monopoly power using the Lerner index

Options :

6406533045257. ✖ 0.349

6406533045258. ✖ 0.249

6406533045259. ✔ 0.294

6406533045260. ✖ 0.394

Sub-Section Number :	4
Sub-Section Id :	640653134153
Question Shuffling Allowed :	No

Question Id : 640653904380 Question Type : COMPREHENSION Sub Question Shuffling Allowed : No Group Comprehension Questions : No Question Pattern Type : NonMatrix Calculator : None

Question Numbers : (323 to 325)

Question Label : Comprehension

Suppose that Nita's utility function is given by $u(I) = (10I)^{0.5}$, where *I* represents annual income in thousands of dollars. Suppose that Nita is currently earning an income of $40,000 (*I* = *40*) and can earn that income next year with certainty. She is offered a chance to take a new job that offers a 0.6 probability of earning $44,000 and a 0.4 probability of earning $33,000.

Based on the above data, answer the given subquestions.

Sub questions

Question Number : 323 Question Id : 640653904381 Question Type : MCQ Calculator : Yes

Correct Marks : 1

Question Label : Multiple Choice Question

Nita's risk preferences are

Options :

6406533045226. ✔ Risk averse

6406533045227. ✖ Risk loving

6406533045228. ✖ Risk neutral

6406533045229. ✖ Cannot be determined

Question Number : 324 Question Id : 640653904382 Question Type : MCQ Calculator : Yes

Correct Marks : 1

Question Label : Multiple Choice Question

Should Nita take up the new job?

Options :

6406533045230. ✖ YES

6406533045231. ✔ NO

Question Number : 325 Question Id : 640653904383 Question Type : SA Calculator : None

Correct Marks : 2

Question Label : Short Answer Question

If Nita is willing to join the new job and also to buy insurance to protect against the variable income associated with the new job, how much would she be willing to pay for that insurance (in $)?

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Range

Text Areas : PlainText

Possible Answers :

188 to 208

Sub-Section Number :	5
Sub-Section Id :	640653134154
Question Shuffling Allowed :	No

Question Id : 640653904384 Question Type : COMPREHENSION Sub Question Shuffling Allowed : No Group Comprehension Questions : No Question Pattern Type : NonMatrix Calculator : None

Question Numbers : (326 to 331)

Question Label : Comprehension

India currently imports all of its palm oil. The annual demand for palm oil by Indian consumers is given by the demand curve $Q = 2500 - 2P$, where Q is quantity of palm oil in thousand litres and P is market price in INR per litre. World producers can harvest and ship palm oil to Indian distributors at a constant marginal cost (=average cost) of INR 100 and Indian distributors can distribute it at a cost of INR 25 per litre. Consider the market for palm oil to be competitive. The Indian government is considering a tariff on palm oil import of INR 25 per litre. Answer the given subquestions.

Sub questions

Question Number : 326 Question Id : 640653904385 Question Type : SA Calculator : None

Correct Marks : 1

Question Label : Short Answer Question

If there is no tariff, what is the quantity demanded (in thousand litres)____________________

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

2250

Question Number : 327 Question Id : 640653904386 Question Type : SA Calculator : None

Correct Marks : 1

Question Label : Short Answer Question

If the tariff is imposed, how much a consumer will pay for a litre of palm oil_________________

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

150

Question Number : 328 Question Id : 640653904387 Question Type : SA Calculator : None

Correct Marks : 1

Question Label : Short Answer Question

What is the new quantity demanded now (in thousand litres)?____________________

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

2200

Question Number : 329 Question Id : 640653904388 Question Type : SA Calculator : None

Correct Marks : 1

Question Label : Short Answer Question

What will be the lost consumer surplus due to the imposed tariff (in thousand INR)______________

Response Type : Numeric
Evaluation Required For SA : Yes
Show Word Count : Yes
Answers Type : Equal
Text Areas : PlainText
Possible Answers :
55625

Question Number : 330 Question Id : 640653904389 Question Type : SA Calculator : None
Correct Marks : 1
Question Label : Short Answer Question
Tax revenue for the government will be (in thousand INR)______________
Response Type : Numeric
Evaluation Required For SA : Yes
Show Word Count : Yes
Answers Type : Equal
Text Areas : PlainText
Possible Answers :
55000

Question Number : 331 Question Id : 640653904390 Question Type : MCQ Calculator : Yes
Correct Marks : 1
Question Label : Multiple Choice Question
Tariff results in
Options :
6406533045238. ✖ Net gain for the society
6406533045239. ✔ Net loss for the society
6406533045240. ✖ Neither loss nor gain
6406533045241. ✖ Cannot compute

Sub-Section Number :	6
Sub-Section Id :	640653134155
Question Shuffling Allowed :	No

Question Id : 640653904391 Question Type : COMPREHENSION Sub Question Shuffling Allowed : No Group Comprehension Questions : No Question Pattern Type : NonMatrix Calculator : None
Question Numbers : (332 to 338)
Question Label : Comprehension

In a market for dry cleaning, the inverse market demand function is given by P = 100 – Q and the (private) marginal cost of production for the aggregation of all dry cleaning firms is given by MC =10 + Q. Finally, the pollution generated by the dry cleaning process creates external damages given by the marginal external cost curve MEC = Q.

Based on the above data, answer the given subquestions.

Sub questions

Question Number : 332 Question Id : 640653904392 Question Type : SA Calculator : None

Correct Marks : 1

Question Label : Short Answer Question

Calculate the output level of dry cleaning if it is produced under competitive conditions without regulation.

Q^*=________________________

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

45

Question Number : 333 Question Id : 640653904393 Question Type : SA Calculator : None

Correct Marks : 1

Question Label : Short Answer Question

Calculate the price of dry cleaning if it is produced under competitive conditions without regulation.

P^*=______________________

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

55

Question Number : 334 Question Id : 640653904394 Question Type : SA Calculator : None

Correct Marks : 2

Question Label : Short Answer Question

Determine the socially efficient output of dry cleaning.

Q_S=______________________
Response Type : Numeric
Evaluation Required For SA : Yes
Show Word Count : Yes
Answers Type : Equal
Text Areas : PlainText
Possible Answers :
30

Question Number : 335 Question Id : 640653904395 Question Type : SA Calculator : None
Correct Marks : 1
Question Label : Short Answer Question
Determine the socially efficient price of dry cleaning.

P_S=__________________
Response Type : Numeric
Evaluation Required For SA : Yes
Show Word Count : Yes
Answers Type : Equal
Text Areas : PlainText
Possible Answers :
70

Question Number : 336 Question Id : 640653904396 Question Type : SA Calculator : None
Correct Marks : 2
Question Label : Short Answer Question
Determine the tax that would result in a competitive market producing the socially efficient output.

t=_____________
Response Type : Numeric
Evaluation Required For SA : Yes
Show Word Count : Yes
Answers Type : Equal
Text Areas : PlainText
Possible Answers :
1

Question Number : 337 Question Id : 640653904397 Question Type : SA Calculator : None
Correct Marks : 2
Question Label : Short Answer Question

Calculate the output of dry cleaning if it is produced under monopoly conditions without regulation.

Q_m=____________________

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

30

Question Number : 338 Question Id : 640653904398 Question Type : SA Calculator : None

Correct Marks : 1

Question Label : Short Answer Question

Calculate the price of dry cleaning if it is produced under monopoly conditions without regulation.

P_m=________________

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Equal

Text Areas : PlainText

Possible Answers :

70

Sub-Section Number :	7
Sub-Section Id :	640653134156
Question Shuffling Allowed :	No

Question Id : 640653904369 Question Type : COMPREHENSION Sub Question Shuffling Allowed : No Group Comprehension Questions : No Question Pattern Type : NonMatrix Calculator : None

Question Numbers : (339 to 348)

Question Label : Comprehension

Bharat Airlines (BA) flies only one route: Delhi-Chennai. The demand for each flight is $Q = 500 - P$.
BA's total cost of running each flight includes a fixed cost of 30000 and a variable cost of 100 per passenger.

Based on the above data, answer the given subquestions.

Sub questions

Question Number : 339 Question Id : 640653904370 Question Type : MCQ Calculator : Yes

Correct Marks : 1

Question Label : Multiple Choice Question

What is the profit maximizing price that BA will charge?

Options :

6406533045204. ✖ 200

6406533045205. ✔ 300

6406533045206. ✖ 400

6406533045207. ✖ 500

Question Number : 340 Question Id : 640653904371 Question Type : MCQ Calculator : Yes

Correct Marks : 1

Question Label : Multiple Choice Question

How many passengers will be on each flight in equilibrium?

Options :

6406533045208. ✔ 200

6406533045209. ✖ 300

6406533045210. ✖ 400

6406533045211. ✖ 500

Question Number : 341 Question Id : 640653904372 Question Type : MCQ Calculator : Yes

Correct Marks : 1

Question Label : Multiple Choice Question

What is BA's profit for each flight?

Options :

6406533045212. ✔ 10000

6406533045213. ✖ 20000

6406533045214. ✖ 30000

6406533045215. ✖ 25000

Question Number : 342 Question Id : 640653904373 Question Type : MCQ Calculator : Yes

Correct Marks : 2

Question Label : Multiple Choice Question

Now, suppose BA realizes that the fixed costs per flight are in fact 41000 instead of 30000. It also finds out that two different types of passengers fly to Chennai. Type A consists of business people with a demand of Q_A = 260 - 0.4P and type B consists of students with a demand of Q_B= 240 - 0.6P. BA decides to charge these two types different prices.

The market demand curve will have a kink at

Options :

6406533045216. ✖ $P = 100$

6406533045217. ✖ $P = 300$

6406533045218. ✖ $P = 250$

6406533045219. ✔ $P = 400$

Question Number : 343 Question Id : 640653904374 Question Type : SA Calculator : None

Correct Marks : 2

Question Label : Short Answer Question

Now, suppose BA realizes that the fixed costs per flight are in fact 41000 instead of 30000. It also finds out that two different types of passengers fly to Chennai. Type A consists of business people with a demand of Q_A = 260 - 0.4P and type B consists of students with a demand of Q_B= 240 - 0.6P. BA decides to charge these two types different prices.

The price that BA charge the students is $P_B =$ ______________

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Range

Text Areas : PlainText

Possible Answers :

247 to 253

Question Number : 344 Question Id : 640653904375 Question Type : SA Calculator : None

Correct Marks : 2

Question Label : Short Answer Question

Now, suppose BA realizes that the fixed costs per flight are in fact 41000 instead of 30000. It also finds out that two different types of passengers fly to Chennai. Type A consists of business people with a demand of Q_A = 260 - 0.4P and type B consists of students with a demand of Q_B= 240 - 0.6P. BA decides to charge these two types different prices.

The price that BA charge the business people is $P_A =$______________

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Range

Text Areas : PlainText

Possible Answers :

371 to 379

Question Number : 345 Question Id : 640653904376 Question Type : SA Calculator : None

Correct Marks : 1

Question Label : Short Answer Question

Now, suppose BA realizes that the fixed costs per flight are in fact 41000 instead of 30000. It also finds out that two different types of passengers fly to Chennai. Type A consists of business people with a demand of Q_A = 260 - 0.4P and type B consists of students with a demand of Q_B= 240 - 0.6P. BA decides to charge these two types different prices.
Profit maximizing quantity for group A will be Q_A = _______________

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Range

Text Areas : PlainText

Possible Answers :

109 to 111

Question Number : 346 Question Id : 640653904377 Question Type : SA Calculator : None

Correct Marks : 1

Question Label : Short Answer Question

Now, suppose BA realizes that the fixed costs per flight are in fact 41000 instead of 30000. It also finds out that two different types of passengers fly to Chennai. Type A consists of business people with a demand of Q_A = 260 - 0.4P and type B consists of students with a demand of Q_B= 240 - 0.6P. BA decides to charge these two types different prices.
Profit maximizing quantity for group B will be Q_B = _______________

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Range

Text Areas : PlainText

Possible Answers :

89 to 91

Question Number : 347 Question Id : 640653904378 Question Type : SA Calculator : None

Correct Marks : 2

Question Label : Short Answer Question

Now, suppose BA realizes that the fixed costs per flight are in fact 41000 instead of 30000. It also finds out that two different types of passengers fly to Chennai. Type A consists of business people with a demand of Q_A = 260 - 0.4P and type B consists of students with a demand of Q_B= 240 - 0.6P. BA decides to charge these two types different prices.

The profit of BA for each flight will be $\Pi =$ _______________

Response Type : Numeric

Evaluation Required For SA : Yes

Show Word Count : Yes

Answers Type : Range

Text Areas : PlainText